JOB SIBANDA AND ASSOCIATES

VERSUS

CHARLES MABHENA

HIGH COURT OF ZIMBABWE
MPOKISENG DUBE J
BULAWAYO 13 OCTOBER 2025 & 22 JANUARY 2026

Summons commencing Action

Ms A Masawi, for the plaintiff
Ms A Duri, for the defendant

MPOKISENG DUBE J: The plaintiff issued a summons against the defendant, claiming:

1. Payment of the sum of US$13 166.00 being the balance in respect of the taxed costs due to plaintiff in terms of the attached bill of costs marked Annexure A.
2. Interest thereon *a tempore morae* calculated from 8 May 2019 being date of taxation to date of payment
3. Costs of suit.

FACTUAL BACKGROUND

The plaintiff is a law firm trading in Bulawayo and is being represented by the senior partner, Mr Job Sibanda. It is alleged that sometime from 2 August 2018 to 28 November 2018, the plaintiff rendered legal services to the defendant. Thereafter, Mr Sibanda raised an invoice for US$14 922.00. The defendant queried the amount, which then led to the plaintiff taxing a bill of costs according to the law. Following taxation, the defendant paid ZWL$ 14 922.00 and maintained that he had fully discharged his obligation to the plaintiff.

The defendant subsequently filed his plea; in his plea, he states that the plaintiff's summons is invalid *ab initio* by reason of claiming a sum of money in a currency other than the currency of Zimbabwe at the time of issuance of the summons. He further states that the claim in United States dollar currency at the time the summons was issued violated the provisions of Presidential Powers (Temporary Measures) (Amendment of Reserve Bank of Zimbabwe Act and Issue of Real Time Gross Settlement Electronic Dollars (RTGS Dollars))

Regulations, 2019, published as Statutory Instrument 33 of 2019 (SI 33/2019) and section 2(1), (2) and (3) (c) of the Reserve Bank of Zimbabwe (Legal Tender) Regulations, 2019 (S.I. 142 of 2019) which, with effect from the 24th of June 2019, introduced the Zimbabwe dollar currency as the sole currency of Zimbabwe, and abolished the multicurrency system. The defendant also resisted the claim, raising a defence of statutory discharge. He contends that his payment of RTGS14 922 on 22 July 2019 constituted a full and final settlement of his liability to the plaintiff. He therefore prayed that the plaintiff's claim be dismissed with costs on that basis.

Pleadings were closed and the matter was referred to a PTC before a judge in chambers. The matter was referred to trial on the following issues:

ISSUES FOR DETERMINATION

1. Whether the claim by plaintiff is illegal and if not,
2. Whether the defendant discharged his obligation to the plaintiff.

When the parties appeared before me, they all agreed that this matter proceed by way of a Special Case in terms of Rule 52 of the High Court Rules, 2021. The court is required to determine two issues: Whether the plaintiff's claim for United States Dollars is unlawful in the context of current legislation, and whether the defendant has already discharged his obligation through the payment made in local currency. To answer these questions, an analysis of the Statutory Instruments 33/2019 and 142/2019 is necessary. The parties filed a statement of agreed facts and their respective heads of arguments and made submissions motivating their claims.

Statutory Instrument 33 of 2019

The Statutory Instrument came into effect on 22 February 2019. In terms of section 4 (1) (d), it was intended to introduce the cut-off date of all assets and liabilities that were immediately before 22 February 2019 valued and expressed in the US currency and deemed to be values in RTGS currency at the rate of 1:1 with the US dollar. The instrument introduced the RTGS Dollar and addressed existing obligations in Section 4.

The defendant argues that because the debt was incurred in 2018, it was valued in USD immediately before the effective date and thus must be paid at par i.e 1:1. The plaintiff, however, submits that because the debt was only taxed and liquidated on 8 May 2019 by the

taxing master, it was not an asset or liability in the sense of a fixed sum until after the effective date, thereby falling outside the scope of s 4(1) (d).

Statutory Instrument 142 of 2019

On 24 June 2019, the Minister of Finance issued SI 142/2019, which abolished the multi-currency system for domestic transactions. This instrument declared that the Zimbabwe Dollar (comprising bond notes, coins, and RTGS dollars) would be the sole legal tender in Zimbabwe. This meant that after 24 June 2019, it was no longer legal to settle domestic debts in USD, subject to limited exceptions for international airline services and certain customs duties.

The plaintiff's summons was issued on 9 August 2019 and claimed payment in USD. The defendant argues this claim is unlawful as it ignores the mandate of SI 142/2019. The plaintiff counters that SI 142/2019 does not prohibit the filing of claims in other currencies, provided the payment is ultimately settled in local currency at the appropriate conversion rate.

Analysis of the Zambezi Gas Doctrine.

The interpretation of SI 33/2019 was dealt with by the Supreme Court in the landmark case of *Zambezi Gas Zimbabwe (Private) Limited v N.R. Barber (Private) Limited & Anor* SC 3-20. In that matter, the Supreme Court was to decide whether a judgment debt, ordered in USD in June 2018, could be discharged in RTGS at a 1:1 rate in May 2019.

MALABA CJ, held that the provisions of SI 33/2019 are clear and unambiguous. The court defined liabilities broadly to include contractual obligations, accounting entries, and specifically, judgment debts.

The court addressed the requirement of 'immediately before the effective date.' It was stated that:

> "The court a quo misdirected itself because the words "immediately before the effective date" refer to the state in which the assets and liabilities, to which the provisions of s 4 (1) (d) of S.I 33/19 apply, should be in relation to the effective date, irrespective of how far back in time the asset or liability valued and expressed in United States dollars came into existence. The phrase "immediately before" means that the liability should have existed at a date before the effective date and that such liability should have been valued and expressed in United States dollars. The issue of the time frame within which the liability arose in relation to the effective date of 22 February 2019 does not matter. What is of importance is the fact that the liability should have been valued before the effective date in United States dollars and was still so valued and expressed. The

> judgment debt was ordered against the appellant on 25 June 2018. It was valued and expressed in United States dollars and was still so valued and expressed immediately before the effective date"

The court ruled that this phrase does not require a specific act of valuation on 22 February 2019. Rather, it refers to the state of the obligation. If an obligation was denominated and valued in USD at any time before 22 February 2019, and that status remained unchanged until the effective date, then by operation of law, it is deemed to be in RTGS at parity.

The plaintiff attempts to distinguish its case from the *Zambezi Gas* matter by arguing that the debt in this matter was only liquidated on 8 May 2019. In *Zambezi Gas*, the judgment had been granted in 2018, whereas here, the final figure was only determined by the Taxing Master in 2019.

A debt is liquidated when it is certain and fixed in amount. An unliquidated debt is one where the obligation to pay exists, but the exact sum is yet to be determined, such as delictual damages for pain and suffering or disputed professional fees.

The plaintiff argues that because the defendant queried the 2018 invoice, the liability was not valued until the Taxing Master issued the certificate in May 2019. Therefore, the plaintiff contends, the liability did not exist in a valued state immediately before 22 February 2019.

When the plaintiff rendered services in 2018 and issued an invoice in December 2018, it valued and expressed its services in United States Dollars. The fact that the defendant queried the amount did not erase the fact that the claim was for a sum denominated in USD. SI 33/2019 refers to assets and liabilities... valued and expressed in United States Dollars. It does not require them to be liquidated.

Is the plaintiff's claim unlawful?

In light of the discussion above, is the plaintiff's claim lawful? The claim is for US$13 166. Following the promulgation of SI 142/2019, the local currency became the sole legal tender for domestic transactions. The plaintiff and defendant are both domestic entities/persons, and the transaction was domestic. A claim sounding purely in USD for a domestic debt, without a prayer for conversion at the date of payment or an allegation of a foreign obligation, is in contravention of the law that established the Zimbabwe Dollar as the sole legal tender.

Did the defendant discharge his obligation?

The defendant paid RTGS14 922 on 22 July 2019. This payment was made after the taxed bill of $14 714.25 was issued. Because the services were rendered in 2018, the liability was valued and expressed in USD before 22 February 2019. Under Section 4(1) (d) of SI 33/2019, this liability was deemed to be valued in RTGS at 1:1.

The payment of RTGS14,714.25 (plus interest and costs) satisfies the liability in full at the statutory rate. The plaintiff's reliance on *Kawara v Sheriff and Anor* HB 2-22 is insufficient to overturn the weight of *Zambezi Gas*. The Supreme Court's interpretation of SI 33/2019 is binding on this court. That interpretation is that all USD liabilities existing before 22 February 2019 are settled at 1:1 in local currency.

The transition of Zimbabwe's currency in 2019 was a huge event that redefined the value of all historical debts. The legislature, through SI 33/2019 and later the Finance Act, allowed debtors to settle USD- denominated debts in local currency at par. This court has no power to alter that legislative choice, regardless of the economic hardship it may cause to the plaintiff firm.

The plaintiff rendered services at a time when the USD was the currency of account. However, the plaintiff failed to secure payment before the law changed. By the time the debt was paid, the law had decreed that $1 USD from 2018 was equal to $1 RTGS in 2019. The defendant complied with this law, paid the amount allowed by the Taxing Master in the new legal tender, and thus extinguished his debt.

The plaintiff's subsequent lawsuit seeking to recover the USD value through the interbank rate is a claim for a value that the law has specifically taken away. Such a claim is not only unsustainable under *Zambezi Gas* but is also in contravention of the mandate of SI 142/2019.

Disposition

In the result, it is ordered as follows:

1. The plaintiff's claim for US$13 166 be and is hereby dismissed as being contrary to the provisions of Statutory Instrument 33 of 2019 and Statutory Instrument 142 of 2019.

2. It is hereby declared that the defendant's payment of RTGS14 922 on 22 July 2019 constituted a full and final settlement of his liability under the bill of costs taxed on 8 May 2019.

3. The plaintiff shall pay the defendant's costs of suit on the ordinary scale.

Job Sibanda and Associates, plaintiff's legal practitioners
Pundu & Company, defendant's legal practitioners